

Why Do I Need to Understand This?

College in America is insanely expensive. In the past, a college degree might have only set you back a couple thousand dollars, and when you graduated from a four-year university you could expect to find a decent-paying job. Today, the average college graduate leaves school with \$37,584¹⁰ in student debt. What's more, wages in this country have not risen at the same rate as college tuition. According to the Federal Reserve Bank of St. Louis, the average cost of a four-year degree in 1989 was just \$26,902, but by 2016 the average cost had ballooned to \$104,480, which is a growth rate of 2.6% per year (adjusted for inflation). In that same time period, wages only grew at a rate of 0.3% per year, which means the price of college increased nearly nine times faster than wages.¹¹

10 Bustamante, "Student Loan Debt Statistics".

11 "Real Median Household Income in the United States," Federal Reserve Bank of Saint Louis, last modified September 10, 2019, <https://fred.stlouisfed.org/series/MEHOINUSA672N>.